

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2025

Commission file number: 001-38847

ACME CORPORATION

(Exact name of registrant as specified in its charter)

State of incorporation:	Delaware	IRS Employer Identification No.:	84-2204471
Principal offices:	1200 Market Street, Suite 400	City, State, ZIP:	New York, NY 10005

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, or a smaller reporting company. Large accelerated filer ☒

PART I

ITEM 1. BUSINESS

Acme Corporation ("Acme," "the Company," "we," "us," or "our") is a financial technology company incorporated in Delaware in 2014. The Company provides data analytics, workflow automation, and compliance management software to institutional clients in the financial services industry. Our platform serves investment managers, broker-dealers, and registered investment advisers subject to SEC and FINRA regulatory oversight.

As of December 31, 2025, Acme served 312 institutional clients across 18 countries and employed approximately 1,840 full-time employees. Revenues for fiscal year 2025 were \$284.7 million, representing a 21% increase over fiscal year 2024.

ITEM 1A. RISK FACTORS

The following risk factors could materially and adversely affect our business, financial condition, results of operations, and the trading price of our common stock. These risks are not the only ones we face. Additional risks and uncertainties not currently known to us or that we currently consider immaterial may also materially affect our business.

Cybersecurity and Data Security Risks

We process, store, and transmit large volumes of sensitive financial data on behalf of our clients. A security breach, unauthorized access, or cyberattack could expose our clients' proprietary investment data, trading activity, and personally identifiable information. Such an incident could result in regulatory investigation, civil litigation, reputational damage, and material financial loss. During fiscal year 2025 we detected two attempted intrusion events on our cloud infrastructure. Neither intrusion was successful, and no client data was compromised. We cannot guarantee that future attempts will be unsuccessful.

Our cybersecurity program is overseen by the Board's Audit and Risk Committee, which receives quarterly briefings from the Chief Information Security Officer (CISO). We carry cyber liability insurance with aggregate coverage of \$50 million per incident. We have implemented multi-factor authentication, end-to-end encryption for data in transit and at rest, and a zero-trust network architecture across all production environments as of Q3 2025.

Regulatory and Compliance Risks

Our clients operate in heavily regulated industries and rely on our platform to support their compliance obligations. Changes in SEC, FINRA, or other regulatory requirements could require significant modifications to our software, increasing our cost of compliance and potentially delaying product releases. In December 2025 the SEC proposed new rules regarding AI-assisted investment advice and automated compliance systems. If adopted in their current form, these rules would require us to implement additional audit trail and explainability features in our platform, at an estimated development cost of \$3.2 million to \$5.8 million.

We are subject to ongoing examination by the SEC under its Technology Controls Program. We received a deficiency letter in March 2025 related to our data retention policies for electronic communications. We have implemented remediation measures and submitted a corrective action plan to SEC staff. No enforcement action has been initiated as of the date of this filing.

Concentration and Customer Risks

Our ten largest clients collectively accounted for 38% of total revenue for fiscal year 2025. The loss of any single top-ten client could have a material adverse effect on our results of operations. Our largest single client, a major U.S. asset manager, accounted for approximately 7.2% of total revenue in fiscal year 2025. This client's contract expires in September 2026 and is subject to renewal negotiation.

Artificial Intelligence and Model Risk

We incorporate machine learning models into our compliance flagging, anomaly detection, and workflow automation features. These models are trained on historical data and may not perform accurately under novel market conditions or in the presence of distribution shift. Model errors could cause our platform to generate incorrect compliance alerts, miss genuine violations, or produce outputs that expose our clients to regulatory or legal risk.

We maintain a Model Risk Management (MRM) framework aligned with SR 11-7 guidance. All production models undergo independent validation before deployment and are reviewed annually. As of December 31, 2025, we had 14 models in production, of which 2 were flagged for enhanced monitoring due to performance

degradation in Q4 2025. Remediation for both models is expected to be complete by Q2 2026.

PART II

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS

Results of Operations — Fiscal Year 2025 vs. Fiscal Year 2024

	FY 2025	FY 2024	Change	% Change
Total Revenue	\$284.7M	\$235.3M	+\$49.4M	+21.0%
Recurring SaaS Revenue	\$241.9M	\$193.4M	+\$48.5M	+25.1%
Professional Services	\$42.8M	\$41.9M	+\$0.9M	+2.1%
Gross Profit	\$198.9M	\$157.7M	+\$41.2M	+26.1%
Gross Margin	69.8%	67.0%	+280 bps	
Operating Income	\$41.2M	\$28.4M	+\$12.8M	+45.1%
Net Income	\$31.7M	\$20.6M	+\$11.1M	+53.9%
Diluted EPS	\$1.84	\$1.21	+\$0.63	+52.1%

Revenue growth in fiscal year 2025 was driven primarily by expansion within existing accounts and new client signings in the asset management and broker-dealer segments. Recurring SaaS revenue grew 25.1% year over year, reflecting a net revenue retention rate of 118% for the trailing twelve months ended December 31, 2025. Gross margin expansion of 280 basis points reflects favorable product mix shift toward higher-margin SaaS modules and continued infrastructure cost optimization.

ITEM 9A. CONTROLS AND PROCEDURES

Disclosure Controls and Procedures. Our principal executive officer and principal financial officer evaluated the effectiveness of our disclosure controls and procedures as of December 31, 2025. Based on that evaluation, they concluded that our disclosure controls and procedures were effective as of December 31, 2025.

Management's Report on Internal Control Over Financial Reporting. Management is responsible for establishing and maintaining adequate internal control over financial reporting. Our internal control over financial reporting is designed to provide reasonable assurance regarding the reliability of financial reporting. Management assessed the effectiveness of our internal control over financial reporting as of December 31, 2025 and concluded that it was effective. Our independent registered public accounting firm, Hartley & Brennan LLP, issued an attestation report on our internal control over financial reporting, which appears in Part II of this Annual Report.